to figure out how awesome that is for shareholders in enhancing intrinsic value.

Despite of all this good news laid out in conference calls and press releases, USAP stock languished between $10 to $17 per share throughout 2005. Needless to say, Pabrai Funds added to its USAP position the maximum it could buy throughout 2005, whenever the price weakened. By the end of 2005, we owned just under 10 percent of USAP. We were now very well positioned to exit the chakravyuh not only in one piece, but with the enemy pretty much decimated.

In 2006, the company announced it was adding another vacuum arc furnace that would be fully operational by 2007. From my point of view, if Mac could keep those furnaces running full out 24/7 for 365 days, he could buy as many of them as he wanted. Intrinsic value in 2007, even with all the cyclicality, was now safely over $35 per share. Pabrai Funds decided to exit USAP at anything over 90 percent of intrinsic value ($31.50) if there was another place I could deploy the proceeds. And at 100 percent of intrinsic value, I was ready to sell regardless of use of proceeds. It had been a long, hard battle.

In April 2006, the stock hit $31.50 for the first time, and I began unloading our large position. In May, the stock went over $35 per share, and we were unloading as aggressively as we could without being over 20 percent to 30 percent of daily average volume or affecting the price. Our traders at Smith Barney did a wonderful job of letting the shares out without tipping our hand. Around mid-May, as equity markets around the world dropped significantly, USAP dropped from $36 to $23 per share. Once the stock went under $31.50 per share, Pabrai Funds stopped selling. As I write this, we’ve unloaded about 60 percent of our USAP holdings at an average gain of over 100 percent, and the remaining shares will be sold as the price rises to at least 90 percent of USAP’s conservative intrinsic value. Some of the USAP shares were held for around four years, yielding an annualized gain of approximately 19 percent. Others were held for just a year and the annualized gain was 100 percent. All in all, it wasn’t a home run, but a very acceptable result.